

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

June 21, 2020

Jason Wagner
General Manager
Martinez LLC

Dear Mr. Wagner:

This letter sets down the terms on which we will value the retiree medical benefits your company provides, and it asks for your signature so that we can begin. It follows the conversations we had this spring about what such a valuation needs to answer and what it would cost you. Nothing here should be new. The purpose of putting it in writing is that both sides work from the same understanding of scope, timing, and price before any work starts, so that there is nothing to reconstruct from memory if a question comes up later.

The Work You Are Engaging Us to Do

A retiree medical valuation measures the obligation your company carries for the health benefits it has promised its retirees, and it states that obligation in the terms your financial statements need. We will perform the valuation under Accounting Standards Codification 715-60, the standard that governs postretirement benefits other than pensions, and in accordance with the actuarial standards of practice that bear on this work. The measurement rests on three things: the census of your employees and retirees, the provisions of the plan as written, and a set of assumptions about the future. We keep those three apart in the report, and we keep apart as well what the data show, what we have assumed, and what we conclude.

The valuation has four parts, and the report will document each:

- The employee and retiree census and the plan documents your office supplies, reconciled before we rely on them.
- The assumptions the measurement requires, chief among them the discount rate, the health care cost trend, and the mortality basis, each stated and supported on its own.
- The measured obligation as of the valuation date, developed in a workbook of exhibits that shows how each figure is built.

- Our conclusions, set apart from the measurements, including the accounting figures your statements will disclose.

How We Will Carry It Out

We reconcile your data before we use it, so that the figures we measure are the figures you actually carry. We set each assumption on its own footing and say plainly which rest on regulation and which rest on judgment. You will receive two things at the end. The first is a workbook of exhibits that carries the measurement from the census through to the disclosed figures. The second is a written report that interprets the exhibits: what we measured, what we assumed, and what we conclude, with the reasoning for each and the standards the work is performed under. The fee also covers one presentation of the results to you and your management.

The Data We Will Rely On

A valuation is only as sound as the records beneath it. We will rely on the census and the plan documents your staff provide, and we will reconcile them against your own records before we build anything on them. Where a record is unclear or incomplete, we will come back to you rather than fill the gap with a guess, and we will document what we relied on and the date we received it. Under the applicable standard on data quality, the accuracy and completeness of the underlying records remain your responsibility; ours is to review them for reasonableness and to disclose what we relied on.

Who Will Do the Work

I will sign the opinion and carry the professional responsibility for it. Jennifer Vasquez, a consulting actuary in our firm, will own the relationship and the day-to-day judgment calls on scope, and she is the person to call when a question is really about what the engagement covers. Jeffrey Ochoa, an actuarial analyst, will carry the modeling and chase any surprising result back to the assumption that produced it. Amanda White, an actuarial associate, will assemble the exhibits and run the reconciliations that feed them. You will deal mostly with Jennifer Vasquez, but the whole team stands behind the numbers.

Our Fee and When We Begin

Our fee for the valuation is \$118,500, a fixed amount that covers the work described above through delivery of the report and the one presentation of the results. It does not cover a re-measurement should you amend the plan, or should we be asked to value an alternative design; if that comes up, we will price it separately and in

writing before we start it. Subject to your signature on this letter, we will begin the work on July 1, 2020.

Billing and Payment

We invoice monthly for the prior month's work, and each invoice is due within thirty days of its date. If a question comes up about an invoice, tell us and we will work it through before it becomes a dispute.

Term and Termination

This agreement takes effect on the date you sign it and runs until we have delivered the valuation and you have paid our final invoice for it. Either of us may end it earlier on written notice to the other, in which case you owe us for the work performed to the date the notice takes effect, and we will hand over the work in whatever state it has reached.

Confidentiality

We will hold what you give us in confidence and use it only for this valuation. Inside the firm, access is limited to the people named above and to anyone whose work on the engagement requires it. We will not disclose your data or our results to anyone outside the firm without your consent, except where the law or a professional standard requires it, and we will tell you if that ever comes up.

Limitation of Liability

Our liability to you arising out of this engagement, whether framed in contract or in negligence, will not exceed the total fees you pay us under it, except in the case of our fraud or willful misconduct. This valuation is prepared for your use in measuring and reporting your retiree medical obligation. It is not written for a lender, an auditor, or any other third party, and we take no responsibility to anyone who relies on it for a purpose it was not written for.

Governing Law

This agreement is governed by the law of the state in which our office sits, without regard to its conflict-of-laws rules. Before either of us starts a proceeding, we will try to settle the matter through direct discussion, and failing that, through mediation.

If these terms match your understanding, please sign both copies where shown, keep one for your file, and return the other to me. If anything reads differently from what you expected, call me before you sign and we will talk it through.

Sincerely,

Robert Lawrence

Managing Actuary

Date: June 21, 2020

Jason Wagner

General Manager, Martinez LLC

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